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CA MADE EASY
ECONOMICS MOST IMPORTANT MCQs

THEORY OF DEMAND AND SUPPLY WEIGHTAGE : (10-12M)

Q1. What is not a determinant of demand?

(A) Consumer's expectations
(B) Consumer's tastes and preferences
(C) Income of the consumers
(D) Prices of unrelated goods

Answer: _D_

Q2. The quantity demanded is a _____.

(A) Flow
(B) Stock
(C) Single isolated purchase
(D) Concept without reference to time

Answer: _A_

Q3. In economics, Effective Demand for a thing depends on:

(A) Desire
(B) Means to purchase
(C) Willingness to use those means for that purchase
(D) All of the above

Answer: _D_

Q4. The term 'demand' refers to:

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(A) Demand of money
(B) Need for the commodity
(C) Need for services
(D) The quantity of a good or service that buyers are willing and able to purchase at various prices during a given period of time

Answer: _D_

Q5. Which of the following will affect the demand for non-durable goods?

(A) Disposable Income
(B) Price
(C) Demography
(D) all of the above

Answer: _D_

Q6. The term “Ceteris Paribus” refers to _____.

(A) Other things being equal
(B) Other things also change
(C) Other things may change
(D) None of the above

Answer: _A_

Q7. Goods which are inferior, with no close substitutes easily available and which occupy a substantial place in the consumer's budget are called _____ goods.

(A) Speculative
(B) Prestige
(C) Conspicuous
(D) Giffen

Answer: _D_

Q8. In case of Veblen goods, the demand curve is:

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(A) Horizontal
(B) Vertical
(C) Upward sloping to the right
(D) Downward sloping to the right

Answer: _C_

Q9. Highly priced goods are consumed by status seeking rich people to satisfy their need for conspicuous consumption. This is called: _____.

(A) Veblen Effect
(B) Snob Effect
(C) Helen Effect
(D) None of these

Answer: _A_

Q10. Name the term which refers to the demand for consumer goods which is decreased owing to the fact that others are also consuming the same commodity.

(A) Halo Effect
(B) Snob Effect
(C) Veblen Effect
(D) Demonstration Effect

Answer: _B_

Q11. Consumption of high-priced goods by status seeking rich people for conspicuous consumption is called _____.

(A) Snob Effect
(B) Bandwagon Effect
(C) Demonstration Effect
(D) Veblen Effect

Answer: _D_

Q12. Increase in price of pulses leads to increase in demand for green vegetables. The pulses and green vegetables are _____. [June 2023]

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(A) Substitutes
(B) Complimentary goods
(C) Normal goods
(D) None of the above

Answer: _A_

Q13. Which of the following is the price at which the quantity demanded of a commodity is equal to the quantity supplied of the commodity and there is no unsold stock or no unsupplied demand? [July 2021]

(A) Selling Price
(B) Asking Price
(C) Future Price
(D) Market clearing Price

Answer: _D_

Q14. What are exceptions to Law of Demand? [Jan. 2021]

(A) Law of Diminishing Marginal Utility
(B) Substitution effect
(C) Conspicuous goods
(D) Different uses

Answer: _C_

Q15. When the price of a commodity increases, what will be the effect on Quantity demanded? [CA CPT Nov. 2018]

(A) Increases
(B) Decreases
(C) No change
(D) None of these

Answer: _B_

Q16. An increase in the demand of computers, other things remaining same, will:

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(A) Increase the number of computers bought
(B) Decrease the price but increase the number of computers bought
(C) Increase the price of computer
(D) Increase the price and number of computers bought

Answer: _D_

Q17. In case of normal goods, rise in price leads to _____? [CA CPT Nov. 2018

(A) Fall in demand
(B) Rise in demand
(C) No change
(D) Initially rise then ultimately fall

Answer: _A_

Q18. Comforts lies between:

(A) Inferior goods and necessaries
(B) Luxuries and inferior goods
(C) Necessaries and luxuries
(D) None of the above

Answer: _C_

Q19. If the price of the commodity increases, what will be the effect on quantity demanded? [CA CPT Nov. 2018]

(A) Decreases
(B) Increases
(C) No change
(D) Can't say

Answer: _A_

Q20. The demand for petrol decreases due to increase in its price, it is termed as: [June 2022]

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(A) A decrease in demand
(B) A change in demand
(C) A contraction in demand
(D) An increase in demand

Answer: _C_

Q21. Suppose the demand for automobile decreases due to increase in price of petrol. Both the goods are: [July 2021]

(A) Perishable
(B) Complementary
(C) Substitute
(D) Normal

Answer: _B_

Q22. Which of the following statements is not correct? [June 2022]

(A) Giffen goods exhibit negative relationship between price and demand
(B) Conspicuous goods exhibit positive relationship between price and demand
(C) Incomplete information and irrational behaviour of consumer is one of the reasons of exception to the law of demand
(D) Law of demand states inverse relationship between price of a commodity and its quantity demanded

Answer: _A_

Q23. For what type of goods does demand fall with a rise in income levels of households? [CA CPT May 2018]

(A) Inferior goods
(B) Substitutes
(C) Luxuries
(D) Necessities

Answer: _A_

Q24. Which of the following is an exception to the law of demand? [Dec. 2023]

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(A) Substitutes goods
(B) Marginal Utility
(C) Conspicuous goods
(D) Cross Elasticity of demand

Answer: _C_

Q25. Price effect is described as which of following? [June 2023, June 2024]

(A) Income effect + Veblen effect
(B) Substitution effect + Veblen effect
(C) Income effect + Substitution effect
(D) Veblen effect + Demonstration effect

Answer: _C_

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